

PERSONAL LOAN UNDERWRITING POLICY

Document Classification: SYNTHETIC DEMONSTRATION POLICY

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Purpose: Research Prototype Evaluation

IMPORTANT NOTICE:

This document is synthetic demonstration content produced solely for testing the research prototype. It is NOT an actual bank policy or regulatory requirement.

1. Purpose

This document provides example policy considerations for personal loan applications.

2. Applicant Assessment

The applicant should be evaluated using available information concerning:

- Income.
- Employment.
- Existing loans.
- Requested loan amount.
- Loan purpose.
- Documentation.
- Collateral or guarantor availability where applicable.

3. Income

Monthly income should be considered when evaluating repayment capacity.

Higher income may support repayment capacity; however, income should not be considered independently from requested loan amount and existing repayment obligations.

4. Requested Loan Amount

A relatively high requested loan amount should trigger closer assessment of repayment capacity.

The statistical prediction should therefore be interpreted together with the requested amount and applicant income.

5. Existing Loan Status

Existing loan commitments should be incorporated into the assessment.

Where an applicant already has significant repayment obligations, the application may require additional review.

6. Loan Purpose

The stated purpose of a personal loan should be reviewed for consistency with the selected loan product.

Unclear or inconsistent information should be referred for manual verification.

7. Documentation

Complete supporting documentation is important for policy verification.

Applications where some required documents are missing should not automatically receive a positive recommendation.

8. Guarantor and Collateral

The availability of a guarantor or collateral may provide additional supporting evidence where relevant to the application.

However, their presence alone should not override concerns relating to repayment capacity or missing documentation.

9. AI Recommendation

The AI decision-support system should integrate:

ML Prediction + XAI Explanation + Policy Evidence

rather than relying solely on the statistical prediction.

10. Human Oversight

All recommendations remain subject to human credit-officer review.